

PAGERO



# Country Compliance Report:

# United Kingdom

Information class: Restricted



## Country Compliance Report: United Kingdom

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## Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

*The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.*

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# 1. Terminology

This section outlines general and country-specific terminology for the United Kingdom, which will be used throughout the whole document.

| Term              | Explanation                                                                                                                                                                                                                                                                                                             |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>GB</b>         | <ul style="list-style-type: none"><li>Great Britain refers to England, Scotland and Wales</li></ul>                                                                                                                                                                                                                     |
| <b>UK</b>         | <ul style="list-style-type: none"><li>Consists of Great Britain and Northern Ireland</li><li>For VAT purposes, the UK consists of Great Britain and the Isle of Man. It does not include the Channel Islands or Gibraltar.</li></ul>                                                                                    |
| <b>HMRC</b>       | <ul style="list-style-type: none"><li>Her Majesty's Revenue and Customs, a department of the UK Government which is responsible for the administration and collection of taxes</li></ul>                                                                                                                                |
| <b>NHS</b>        | <ul style="list-style-type: none"><li>National Health Service, the publicly funded healthcare system of the UK</li></ul>                                                                                                                                                                                                |
| <b>NHS SC</b>     | <ul style="list-style-type: none"><li>NHS Supply Chain manages the sourcing, delivery and supply of healthcare products, services and food for NHS trusts and healthcare organisations across England and Wales</li></ul>                                                                                               |
| <b>NHS trust</b>  | <ul style="list-style-type: none"><li>NHS trusts are public sector bodies established by parliamentary order by the secretary of state for health to provide healthcare services to the NHS</li></ul>                                                                                                                   |
| <b>CCS</b>        | <ul style="list-style-type: none"><li>Crown Commercial Service, the biggest public procurement organisation in the UK</li></ul>                                                                                                                                                                                         |
| <b>B2B</b>        | <ul style="list-style-type: none"><li>Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer</li></ul>                                                                                                                                         |
| <b>B2G</b>        | <ul style="list-style-type: none"><li>Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies</li></ul>                                                                                                                    |
| <b>Post Audit</b> | <ul style="list-style-type: none"><li>The post-audit tax regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax office. Even though e-documents are allowed, there are no</li></ul> |

|                         |                                                                                                                                                                                                                                                                                                                                                                                   |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                         | provisions as to what format, infrastructure, or how they should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving. The term post-audit stems from the fact that Tax audits can be performed months or years after the transactions originally took place. |
| <b>Peppol Network</b>   | <ul style="list-style-type: none"> <li>The Peppol Network is a logical network enabling secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service Providers.</li> </ul>                                                                                                                                                                           |
| <b>Peppol Authority</b> | <ul style="list-style-type: none"> <li>An authority, responsible for the registration of the companies that wish to become a Peppol Access Point (AP) or Service Metadata Publisher (SMP). In the UK, NHS has the role of Peppol Authority.</li> </ul>                                                                                                                            |
| <b>PPD</b>              | <ul style="list-style-type: none"> <li>Prompt payment discount – a percentage of an invoice total that is deducted by the customer if the invoice is paid within a specific timeframe (earlier than the due date)</li> </ul>                                                                                                                                                      |
| <b>NI</b>               | <ul style="list-style-type: none"> <li>Northern Ireland</li> </ul>                                                                                                                                                                                                                                                                                                                |



## 2. General overview

This section provides an initial introduction into the local e-invoicing environment within the United Kingdom, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

| Item                                                                                                   | Commentary                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Authorities and other agencies relevant for e-invoicing</b>                                         | <ul style="list-style-type: none"><li>• <a href="#">Her Majesty's Revenue and Customs (HMRC)</a></li><li>• <a href="#">National Health Service (NHS)</a></li><li>• <a href="#">Crown Commercial Service (CCS)</a></li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention</b> | <ul style="list-style-type: none"><li>• <a href="#">Regulation 13, Value Added Tax Regulations 1995 (VAT Regs 1995)</a></li><li>• <a href="#">HMRC Notice 700/63 - Electronic Invoicing</a></li><li>• The Public Contracts Regulations <a href="#">113A</a> and <a href="#">113B</a></li><li>• <a href="#">Electronic Invoicing in Public Procurement, Information Note 03/18, 22 November 2018</a></li><li>• <a href="#">Procurement Policy Note: The Public Procurement (Electronic Invoices etc.) Regulations 2019, Action Note 3/19</a></li><li>• <a href="#">The Electronic Invoicing Amendment Regulations 2019 (Scotland)</a></li></ul> |





### 3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

| Item                                                        | Commentary                                                                                                                                                                                                                                                                                                                                                                                                      |
|-------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>E-invoice status</b>                                     | <ul style="list-style-type: none"><li>• Allowed</li></ul>                                                                                                                                                                                                                                                                                                                                                       |
| <b>Varying invoicing regimes<sup>1</sup></b>                | <ul style="list-style-type: none"><li>• Different requirements apply to invoicing with NHS</li></ul>                                                                                                                                                                                                                                                                                                            |
| <b>e-Invoicing model</b>                                    | <ul style="list-style-type: none"><li>• <b>B2G and B2B:</b> Post Audit</li><li>• <b>B2G NHS:</b> Peppol</li></ul>                                                                                                                                                                                                                                                                                               |
| <b>e-Invoice definition<sup>2</sup></b>                     | <ul style="list-style-type: none"><li>• Electronic invoicing is the transmission and/or storage of invoices in an electronic format without duplicate paper documents. The electronic format may be a structured format such as XML or an unstructured format such as PDF</li><li>• For NHS: only invoices in structured PEPPOL BIS format are recognized as valid</li></ul>                                    |
| <b>Scope of taxpayers the e-document mandate applies to</b> | <ul style="list-style-type: none"><li>• <b>Mandatory for issuing:</b></li><li>• <b>B2G NHS:</b> e-Order mandatory for NHS trusts</li><li>• <b>B2G and B2B:</b> No explicit requirements</li><li>• <b>Mandatory for submitting:</b></li><li>• <b>B2G NHS:</b> All e-Order suppliers to NHS trusts</li><li>• <b>B2G:</b> All other sub-central contracting authorities and entities since 18 April 2020</li></ul> |
| <b>Mandatory AoR (document response) process</b>            | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                                                                                                                                                                                                                                                                                                                                      |
| <b>Implementation / roll-out plan</b>                       | <ul style="list-style-type: none"><li>• E-invoicing mandate implemented since May 2019 in accordance with the <a href="#">EU Directive 2014/55/EU</a> on electronic invoicing in public procurement</li></ul>                                                                                                                                                                                                   |

<sup>1</sup> It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

<sup>2</sup> Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



## 4. Before switching to e-invoices

### 4.1. IT<sup>3</sup> registration

The following thresholds apply to the requirement to be registered for a IT number in the UK:

- Exemption for small businesses – GBP 85.000 (EUR 98.720)
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – GBP 85.000 (EUR 98.720)
- Application of the special scheme for distance selling<sup>4</sup> – GBP 70.000 (EUR 82.490)

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

A non-established business may choose to appoint a tax representative or agent to act on its behalf in relation to UK VAT matters.

The UK VAT authorities may require that a non-established person appoint a tax representative. However, this condition may be imposed only if the business is established in a country outside the EU that has not agreed on mutual assistance provisions with the United Kingdom.

UK IT number format: GB + 9 digits, i.e.: GB 999.9999.99

Please note that different requirements apply to Northern Ireland since Brexit. For more information, see [section 10.5.1](#).

### 4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

---

<sup>3</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

<sup>4</sup> The distance selling rules are not applicable in GB since 1 January 2021. In Northern Ireland, these rules apply until 1 July 2021.

| Item                                                                                                                     | Commentary                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Actions towards authorities, required in order to enable electronic processing instead of conventional processing</b> | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Actions between the trading partners, e.g., customer acceptance, agreement, etc.</b>                                  | <ul style="list-style-type: none"> <li>Buyer's consent is required, the acceptance can occur by tacit agreement, e.g., by paying the invoice</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Transition period from the moment of starting e-invoicing during which, e.g., parallel invoicing may be allowed</b>   | <ul style="list-style-type: none"> <li>Running a 'dual system' where the same invoice is issued electronically and on paper is explicitly prohibited</li> <li>Dual system is only allowed during a controlled trial of electronic invoicing systems. Once the trial is over, the taxable person must stop running the dual system. The electronic invoice then becomes the legal document for VAT purposes</li> <li>If there is a specific business need to run a dual system, the taxable person should contact HMRC to decide whether an exception can be made</li> </ul> |

### 4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

| Item                                                                                                                                  | Commentary                                                                                                                       |
|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| <b>Whether outsourcing of invoice issuance (creation) is allowed or not</b>                                                           | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                                                                        |
| <b>Whether statement of outsourced issuance is required on the invoice</b>                                                            | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                       |
| <b>Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf</b>         | <ul style="list-style-type: none"> <li>No explicit requirements, however, a written agreement is strongly recommended</li> </ul> |
| <b>Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party</b>                       | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                       |
| <b>Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance</b> | <ul style="list-style-type: none"> <li>Not required</li> </ul>                                                                   |
| <b>Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer</b>                     | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                       |

## 4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

The UK has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



## 5. Document processing

### 5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

| Item                                                                                                             | B2G                                                                                                           | B2B                                                                                                 |
|------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties</b> | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                                    | <ul style="list-style-type: none"><li>• Not mandated, but only structured formats allowed</li></ul> |
| <b>Other document format(s) commonly used for exchange between trading parties</b>                               | <ul style="list-style-type: none"><li>• PDF, Word</li></ul>                                                   | <ul style="list-style-type: none"><li>• PEPPOL BIS</li></ul>                                        |
| <b>Mandated platform(s) required to have connection with for e-document processing</b>                           | <ul style="list-style-type: none"><li>• n.a.</li></ul>                                                        | <ul style="list-style-type: none"><li>• PEPPOL</li></ul>                                            |
| <b>Other platform(s) relevant for e-document processing</b>                                                      | <ul style="list-style-type: none"><li>• Scotland: national P2P platform (<a href="#">PECOS P2P</a>)</li></ul> | <ul style="list-style-type: none"><li>• n.a.</li></ul>                                              |
| <b>Schematron(s), XSD schema or other official mechanisms ensuring document content</b>                          | <ul style="list-style-type: none"><li>• n.a.</li></ul>                                                        | <ul style="list-style-type: none"><li>• PEPPOL Schematron</li></ul>                                 |



|                                                                                                                                  |                                                                        |                                                                                                                                                                                   |
|----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange</b> | <ul style="list-style-type: none"> <li>• Peppol Prefix 9932</li> </ul> | <ul style="list-style-type: none"> <li>• GB for Great Britain, IM for Isle of Man, XI for Northern Ireland</li> </ul>                                                             |
| <b>Other technical aspects</b>                                                                                                   | <ul style="list-style-type: none"> <li>• n.a.</li> </ul>               | <ul style="list-style-type: none"> <li>• Trusts receiving invoices and suppliers receiving orders must be registered with Peppol SMP provided by Department of Health.</li> </ul> |

## 5.2. Communication with NHS

Regulations in the UK foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

| Communication options | Commentary                                                                                                                                                                                                                         |
|-----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Automated</b>      | <ul style="list-style-type: none"> <li>• No explicit requirements</li> </ul>                                                                                                                                                       |
| <b>Manual</b>         | <p>Web portal:</p> <ul style="list-style-type: none"> <li>• <b>B2G NHS:</b> allowed only via Peppol network</li> </ul> <p>E-Mail distribution:</p> <ul style="list-style-type: none"> <li>• <b>B2G NHS:</b> not allowed</li> </ul> |
| <b>Other options</b>  | <ul style="list-style-type: none"> <li>• N/A</li> </ul>                                                                                                                                                                            |

## 5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

### 5.3.1. Domestic documents

#### **B2B**

The United Kingdom does not have any explicit processing requirements on the B2B issuance and exchange processes. In this respect, the UK follows the post audit model.

- (1) Documents are exchanged with your suppliers and customers in various formats and via various exchange mechanisms, depending on business-related preferences.
- (2) The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as that archiving requirements are fulfilled.
- (3) Neither the document format nor exchange mechanism are regulated.

## B2G

There are no explicit requirements in the UK in respect of B2G e-invoicing besides the requirement to the contracting authorities to be able receive EN compliant invoices. This, however, does not oblige the supplier to send e-invoices exclusively in the mentioned format.

Therefore, communications in the UK (e.g., return communication and other) are not regulated and thus it also follows the post audit model in the B2G issuance and exchange processes.

It is possible to send e-invoices in the following ways:

- SSP/supplier sends the final e-document to the buyer in a format as agreed upon
- SSP/supplier sends the final e-document to the receiving service provider (RSP) in an in a format as agreed upon, which is then delivered to the buyer

## NHS

As in the case of the NHS, it is mandatory to use the Peppol network for submission and reception of e-invoices. NHS contracting authorities and their economic operators are free to select a Peppol service provider that fits their needs. These Service Providers then exchange business documents (invoices, orders etc.) between each other.

### 5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

The UK does not have explicit requirements for cross-border outbound e-documents.

However, specific rules apply for Northern Ireland since Brexit. For more information, please see the [section 10.5.](#)

## 5.4. Reception and validation process

### B2B

The UK does not have any explicit processing requirements on the B2B reception, validation or AoR processes. In this respect the UK follows the post-audit model, which has been outlined above under the [section 5.3.1.](#)

### B2G

There is no formal requirement for the public authorities to validate received documents nor are they required to offer AoR messages to suppliers.

## NHS

E-invoices that are received from suppliers via Peppol, are pre-validated against the Peppol format Schematron before being sent to the NHS trust's Peppol Service Provider. There is no formal requirement for the Healthcare authorities to offer AoR messages to the supplier.

### 5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

## B2B

The UK does not have any explicit processing requirements on the B2B document reception. Thus, the process and method of business document reception, including invoices, is to be determined by the trading parties themselves. Some of which have been outlined above in [section 5.3.1.](#)

## B2G

There are no explicit requirements in the UK in respect of B2G e-invoicing besides the requirement to the contracting authority to receive an EN compatible format. A process chart for this has been outlined above under the section 5.3.1.

## NHS

Electronic documents will have to be exchanged between two Peppol Access Points, respectively one for the NHS trust and one for their supplier, implementing a 'four-corner' model. NHS trusts and suppliers should select their own preferred Peppol Access Point provider to be connected to all organizations in the Peppol network and to exchange these business messages.

### 5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

In case of receiving e-invoices from a supplier based in a EU member state, the requirements of the supplier's tax authority must be met. It is therefore recommended to check whether the buyer's system would accept invoices in a certain format before agreeing to receive them electronically.

For Northern Ireland, certain requirements apply since Brexit (see [section 10.5.](#)).

## 5.5. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

In the UK, there are no specific requirements for wording of the invoices for the purpose of distinguishing a copy from the original.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

## 5.6. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

| Item                               | Commentary                                                                                                                                      |
|------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Push communication</b>          | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                      |
| <b>Pull communication</b>          | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                      |
| <b>E-mail distribution</b>         | <ul style="list-style-type: none"> <li><b>B2B and B2G:</b> Allowed</li> <li><b>B2G NHS:</b> Not allowed</li> </ul>                              |
| <b>Webportal<sup>5</sup></b>       | <ul style="list-style-type: none"> <li><b>B2B:</b> Allowed via any third-party portal</li> <li><b>B2G:</b> Allowed via agreed portal</li> </ul> |
| <b>Scanning inbound invoices</b>   | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                                                                                       |
| <b>Scanning outbound invoicing</b> | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                                                                                       |

## 5.7. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

| Rectification process                                                                                                            |                                                                                                                                                                                                                                   |
|----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice</b> | <ul style="list-style-type: none"> <li>Credit note</li> <li>If the VAT amount shown on the invoice you issued was too high, then you must account for the higher amount in your records. Where the amount was too low,</li> </ul> |

<sup>5</sup> Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

|                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                        | <p>account for the amount you should have charged.</p> <ul style="list-style-type: none"> <li>• If an invoice is received with incorrect VAT then the receiver should go back to the supplier and request for an adjustment.</li> </ul>                                                                                                                                                                                                                                                                                                               |
| <b>What are the options to correct an invoice if the customer returns the goods</b>                                                    | <ul style="list-style-type: none"> <li>• When goods are returns to the supplier, the balance can be settled by the supplier issuing any of the following documentation: <ul style="list-style-type: none"> <li>◦ Replacement invoice stating the new value of the supply</li> <li>◦ Credit</li> </ul> </li> <li>• As with exchanges, there are various circumstances when you might receive goods from your customers for supplying them with goods or services. Depending on the nature of the transaction, the VAT treatment can differ.</li> </ul> |
| <b>What are the options to correct an invoice if the customer paid too much</b>                                                        | <ul style="list-style-type: none"> <li>• Credit note</li> <li>• If a customer has simply overpaid above the amount which is stated on the invoice, then it is possible to credit the customer for the amount.</li> <li>• If the overpayment is a result of an incorrect amount being stated on the invoice, it is possible to issue a credit note to the customer to cancel the original invoice. After that, a replacement invoice stating the new value of the supply must be issued.</li> </ul>                                                    |
| <b>What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer</b>    | <ul style="list-style-type: none"> <li>• Credit note</li> <li>• Where the supplier offers a discount on an invoice after it has been issued then they have the option to issue the following documentation to correct the value of the supply: <ul style="list-style-type: none"> <li>◦ Replacement invoice stating the new value of the supply</li> <li>◦ Credit note adjusting the original invoice</li> </ul> </li> </ul>                                                                                                                          |
| <b>What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.</b> | <ul style="list-style-type: none"> <li>• Corrective document (with a reference to the respective invoice)</li> <li>• Re-invoice with the correct details where possible</li> </ul>                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Other scenarios with different correction option</b>                                                                                | <ul style="list-style-type: none"> <li>• Yes</li> <li>• If this document is provided as a result of a prompt payment, then the HMRC recommend that the following information is included on the invoice:</li> </ul>                                                                                                                                                                                                                                                                                                                                   |



|                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                       | <ul style="list-style-type: none"> <li>○ The terms of the PPD (PPD terms must include, but need not be limited to, the time by which the discounted price must be made).</li> <li>○ A statement that the customer can only recover as input tax the VAT paid to the supplier.</li> <li>• Additionally, a supplier may choose to show: <ul style="list-style-type: none"> <li>○ The discounted price</li> <li>○ The VAT on the discounted price</li> <li>○ The total amount due if the PPD is taken up</li> </ul> </li> <li>• We recommend businesses use the following wording on the invoice:<br/><br/> 'A discount of X% of the full price applies if payment is made within Y days of the invoice date. No credit note will be issued. Following payment, you must ensure you have only recovered the VAT actually paid.'</li> </ul> |
| <b>Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)</b>                                                         | <ul style="list-style-type: none"> <li>• Supplier</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

## 5.8. Coexistence of paper and electronic invoices

| Item                                                                                                                                                                                                   | Commentary                                                                                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it</b> | <ul style="list-style-type: none"> <li>• Running a "dual system" where the same invoice is issued electronically and on paper is explicitly prohibited, see more under section <a href="#">4.2.</a></li> </ul>               |
| <b>Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving</b>                                  | <ul style="list-style-type: none"> <li>• Allowed</li> </ul>                                                                                                                                                                  |
| <b>Whether any conditions apply, and which, to the dematerialisation</b>                                                                                                                               | <ul style="list-style-type: none"> <li>• Paper invoice should be destroyed, provided that integrity and authenticity of the scanned file is fulfilled during the conversion process as well as during the storage</li> </ul> |
| <b>Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e.</b>                                                                                                               | <ul style="list-style-type: none"> <li>• Allowed</li> </ul>                                                                                                                                                                  |

|                                                                                         |                                                                                                            |
|-----------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| <b>destruction of the original electronic document, for processing and/or archiving</b> |                                                                                                            |
| <b>Whether any conditions apply, and which, to the materialisation</b>                  | <ul style="list-style-type: none"><li>• No explicit requirements nor HMRC guidance on this point</li></ul> |



## 6. Document content requirements

### 6.1. Document types

| Item                                                | Commentary                                                                                                                    |
|-----------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| <b>Documents mandatory for issuance by supplier</b> | <ul style="list-style-type: none"><li>• Complete invoice</li><li>• Simplified invoice</li><li>• Credit / debit note</li></ul> |
| <b>Documents mandatory for issuance by buyer</b>    | <ul style="list-style-type: none"><li>• No mandatory documents</li><li>• NHS trusts: eOrders</li></ul>                        |

| Item                              | Commentary                                                                                                                     |
|-----------------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| <b>Self-billing allowed</b>       | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                                          |
| <b>Simplified invoice allowed</b> | <ul style="list-style-type: none"><li>• Yes</li><li>• The amount of the invoice incl. VAT does not exceed GBP 250.00</li></ul> |

### 6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

#### 6.2.1. Document numbering by the taxpayer

| Item                                                                                                                                       | Commentary                                            |
|--------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| <b>A sequential number, based on one or more series, which uniquely identifies the invoice</b>                                             | <ul style="list-style-type: none"><li>• Yes</li></ul> |
| <b>Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)</b> | <ul style="list-style-type: none"><li>• Yes</li></ul> |
| <b>Allowed to start a new sequential numbering every year</b>                                                                              | <ul style="list-style-type: none"><li>• Yes</li></ul> |

|                                                                                                                                                                               |                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Worldwide numbering on legal entity level allowed provided that gaps can be explained</b>                                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                          |
| <b>Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)</b> | <ul style="list-style-type: none"> <li>• Yes</li> <li>• Invoice must have a sequential number based on one or more of a series which uniquely identifies the document</li> </ul> |

### 6.3. Indirect tax (IT)<sup>6</sup> rates

This section illustrates the applied IT<sup>7</sup> rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

| Indirect tax rates |                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|--------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>20%</b>         | <b>Standard</b> | <ul style="list-style-type: none"> <li>• All other taxable goods and services</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>5%</b>          | <b>Reduced</b>  | <ul style="list-style-type: none"> <li>• Children's car seats, small cable-based passenger transport systems social housing, natural gas supplies, electricity supplies, energy-saving domestic installations and goods, LPG and heating oil, some renovation and repairs of immovable property, certain larger holiday caravans, sanitary protection products, smoking cessation products</li> </ul>                                                                                                                                                                                                                                                                   |
| <b>0%</b>          | <b>Zero</b>     | <ul style="list-style-type: none"> <li>• Printed books, journals and other printed materials (also in digital format since 1 May 2020), certain foodstuffs, children's clothing and footwear, prescribed pharmaceutical products, new housing, domestic passenger transport, intra-community and international passenger transport, exports of goods and related services, certain international services, Intra-Community supplies of goods, services supplied to customers outside the EU (an exempt-with-credit supply)</li> </ul>                                                                                                                                   |
|                    | <b>Exempt</b>   | <ul style="list-style-type: none"> <li>• Betting and gaming, education, finance, insurance, land and buildings (in most cases), postal services (in most cases), human blood products, medical services, shared service arrangements in circumstances in which two or more organizations (whether businesses or otherwise) with exempt and/or non-business activities join together on a cooperative basis to form a separate, independent entity (a cost-sharing group), to supply themselves with certain services at cost (the VAT cost-sharing exemption applies only in very specific circumstances and does not cover all shared-service arrangements)</li> </ul> |

### 6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of the United Kingdom.

<sup>6</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

<sup>7</sup> Local name: Value Added Tax

Please note that other additional content requirements might apply in addition, i.a. of technical character.

| General                                                                                                                |                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Required to mention the word "invoice"                                                                                 | <ul style="list-style-type: none"> <li>• Yes</li> <li>• It must be made clear that the document is an Invoice and is therefore not, for example, a pro-forma invoice or otherwise</li> </ul> |
| Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements: | <ul style="list-style-type: none"> <li>• No</li> <li>• Translation can be requested</li> </ul>                                                                                               |
| Sequential numbering                                                                                                   | <ul style="list-style-type: none"> <li>• Yes, see <a href="#">section 6.2.</a> above</li> </ul>                                                                                              |
| Required to mention copy or duplicate in case a copy is issued                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                      |
| Reference in case of outsourced issuance                                                                               | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                       |

| Supplier data                                                                                                           |                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Full legal name of the supplier                                                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                          |
| Allowed to abbreviate or shorten the legal name of the supplier                                                         | <ul style="list-style-type: none"> <li>• Yes, provided the full legal name is mentioned as well</li> </ul>                                                                                                                                       |
| Full address of the supplier in country of establishment                                                                | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                          |
| Allowed to mention the PO box address instead of the legal address of the supplier                                      | <ul style="list-style-type: none"> <li>• Yes, provided that the legal address is mentioned as well, and it is clearly indicated</li> </ul>                                                                                                       |
| IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes | <ul style="list-style-type: none"> <li>• Yes, if a registration is available in the country of supply</li> </ul>                                                                                                                                 |
| IT identification number of the supplier in the country of establishment                                                | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                           |
| Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)                 | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                           |
| Legal form of the supplier                                                                                              | <ul style="list-style-type: none"> <li>• No</li> <li>• Whilst this information is not required as a matter of VAT law, most (possibly all) of this data should be shown on the invoice of a corporate body as a matter of company law</li> </ul> |
| Trade register number of the supplier                                                                                   | <ul style="list-style-type: none"> <li>• No</li> <li>• Whilst this information is not required as a matter of VAT law, most (possibly all) of this data should be shown on the invoice of a corporate body as a matter of company law</li> </ul> |

|                                                                                                        |                                                                                                                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)</b> | <ul style="list-style-type: none"> <li>• No</li> <li>• Whilst this information is not required as a matter of VAT law, most (possibly all) of this data should be shown on the invoice of a corporate body as a matter of company law</li> </ul> |
| <b>Place of legal seat of the supplier (Headquarters)</b>                                              | <ul style="list-style-type: none"> <li>• No</li> <li>• Whilst this information is not required as a matter of VAT law, most (possibly all) of this data should be shown on the invoice of a corporate body as a matter of company law</li> </ul> |
| <b>Other supplier data</b>                                                                             | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                           |

| <b>Customer data</b>                                                                                                                               |                                                         |
|----------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| <b>Full legal name of the customer</b>                                                                                                             | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>Allowed to abbreviate or shorten the legal name of the customer</b>                                                                             | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>Address of the customer in country of establishment</b>                                                                                         | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>Bill-to address when it is different from the registered address of the customer</b>                                                            | <ul style="list-style-type: none"> <li>• No</li> </ul>  |
| <b>Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer</b>                                    | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)</b>            | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies</b>                          | <ul style="list-style-type: none"> <li>• No</li> </ul>  |
| <b>IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies</b>                   | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>  |
| <b>Other customer data</b>                                                                                                                         | <ul style="list-style-type: none"> <li>• No</li> </ul>  |

| <b>Transaction data</b>                  |                                                         |
|------------------------------------------|---------------------------------------------------------|
| <b>Date of issue</b>                     | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |
| <b>Date of supply (chargeable event)</b> | <ul style="list-style-type: none"> <li>• Yes</li> </ul> |



|                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Date of prepayment</b>                                                                                                             | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                |
| <b>Description of the goods/services</b>                                                                                              | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                               |
| <b>Quantity of the goods supplied or the extent of the services supplied</b>                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                               |
| <b>Purchase order number</b>                                                                                                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                |
| <b>Shipped from location (for the supply of goods)</b>                                                                                | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                                                                                                                                               |
| <b>Shipped to location (for the supply of goods)</b>                                                                                  | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                                                                                                                                               |
| <b>Status of the goods (e.g. in bond, in free circulation)</b>                                                                        | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                                                                                                                                               |
| <b>Incoterms</b>                                                                                                                      | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                |
| <b>Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)</b> | <ul style="list-style-type: none"> <li>• The reason for any zero-rating or exemption from VAT must be stated.</li> <li>• In addition, special rules do apply where the invoice is issued under a margin scheme or subject to the reverse charge. If either of these situations apply, it must be specified on the invoice.</li> </ul> |

| <b>Financial data</b>                                                                                                       |                                                                                                                                                                                                                                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Taxable base per item (unit price excl. IT)</b>                                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Total taxable base per IT rate or exemption</b>                                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>IT rate applied</b>                                                                                                      | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Total IT amount calculated per rate</b>                                                                                  | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                           |
| <b>Total IT amount payable</b>                                                                                              | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Discounts/rebates if not included in the unit price</b>                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Total gross amount (including IT)</b>                                                                                    | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                           |
| <b>Mandatory to mention the total IT amount due in the national currency</b>                                                | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country</b> | <ul style="list-style-type: none"> <li>• Total amount excluding VAT</li> <li>• Quantity of each type of item</li> <li>• Rate of any discount per item</li> </ul>                                                                                                                                                                 |
| <b>Exchange rate (if the invoice is not issued in the local currency)</b>                                                   | <ul style="list-style-type: none"> <li>• Yes.</li> <li>• Must be expressed with the appropriate exchange rate</li> </ul>                                                                                                                                                                                                         |
| <b>Which exchange rate must be applied in order of priority</b>                                                             | <ul style="list-style-type: none"> <li>• Three standard ways to convert foreign currency into sterling for VAT purposes, in addition to using ECB rate: <ol style="list-style-type: none"> <li>1. UK market selling rate at the time of the supply; rates published in national newspapers are acceptable</li> </ol> </li> </ul> |

|                                        |                                                                                                                                                                                                                                                                                                         |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                        | <ul style="list-style-type: none"> <li>2. Rates of exchange published by UK tax authorities, known as the period rate of exchange.</li> <li>3. Possibility of using a different rate (e.g., a rate used for general commercial purposes), subject to agreeing it with the UK tax authorities</li> </ul> |
| <b>Terms of payment</b>                | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                                                                                                                 |
| <b>IBAN and BIC number of supplier</b> | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                                                                                                                 |

| <b>Specific references for invoices</b>                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Invoice reference in case of IT exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>List the required references in case of exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>• The following are examples of what can be included on the invoice to meet these requirements: <ul style="list-style-type: none"> <li>○ reverse charge: VAT Act 1994 Section 55A applies</li> <li>○ reverse charge: S55A VATA 94 applies</li> <li>○ reverse charge: Customer to pay the VAT to HMRC</li> </ul> </li> <li>• If the invoice relates wholly to an exempt supply, then there is no requirement to issue a VAT invoice. However, if the invoice contains multiple supplies with various VAT rates then there is a requirement to make clear that there is no VAT on these items in the invoice.</li> </ul> |
| <b>Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "Transfer of own goods- article 17 VAT Directive"?</b> | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable</b>                                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions</b>                                                                                                                                                                                                                                                                                                                                                             | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Specific other reference required, e.g. in case of barter transaction, prepayments,</b>                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |

|                                                                                                                                                                           |                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>etc. (not self-billing or special margin schemes)</b>                                                                                                                  |                                                                                                                                                                                                                      |
| <b>Specific references required in case invoicing is outsourced</b>                                                                                                       | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                               |
| <b>Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                               |
| <b>Other specific requirements/references to be mentioned on an invoice</b>                                                                                               | <ul style="list-style-type: none"> <li>• No</li> <li>• There are no prescribed specific requirements for invoice wording on invoices issued to particular types of customer, such as private individuals.</li> </ul> |

## 6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

| <b>Simplified invoicing</b>                                                   |                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Possible to issue simplified invoices for certain supplies</b>             | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                 |
| <b>Maximum amount for simplified invoices</b>                                 | <ul style="list-style-type: none"> <li>• GBP 250.00</li> </ul>                                                                                                                                                                                                                                                                                                                          |
| <b>Other supplies for which a simplified invoice can be issued</b>            | <ul style="list-style-type: none"> <li>• N/A</li> </ul>                                                                                                                                                                                                                                                                                                                                 |
| <b>Simplified invoices limited to certain type of supplies</b>                | <ul style="list-style-type: none"> <li>• Retail supplies, and other supplies since 1 January 2013</li> </ul>                                                                                                                                                                                                                                                                            |
| <b>Simplified invoices not allowed for certain transactions</b>               | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                 |
| <b>Minimum content requirements on a simplified invoice</b>                   | <ul style="list-style-type: none"> <li>• Full legal name and full address of the supplier</li> <li>• Registration number of supplier</li> <li>• Time of supply</li> <li>• Description of goods or services supplied</li> <li>• Total amount payable including VAT</li> <li>• Gross amount payable including VAT, for each rate of VAT chargeable and the applicable VAT rate</li> </ul> |
| <b>Invoices subject to the national invoice requirements (not self-bills)</b> | <ul style="list-style-type: none"> <li>• Invoices issued by an established supplier that are taxable in our country</li> </ul>                                                                                                                                                                                                                                                          |

|                                                                                       |                                                       |
|---------------------------------------------------------------------------------------|-------------------------------------------------------|
| <b>(other) Invoices subject to the national invoice requirements (not self-bills)</b> | <ul style="list-style-type: none"> <li>N/A</li> </ul> |
|---------------------------------------------------------------------------------------|-------------------------------------------------------|

Pagero Online **does not** support the creation of simplified invoices, as they typically do not correspond to the business requirements of Buyers.

## 6.6. Rectification document

In the UK, credit notes must be issued as rectification documents. A credit note should include at least the following information:

| Specific references for rectification documents                                                                                 |                                                                           |
|---------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| <b>Must the word "credit note" be mentioned</b>                                                                                 | <ul style="list-style-type: none"> <li>Yes</li> </ul>                     |
| <b>Reference to original invoice required on a credit note</b>                                                                  | <ul style="list-style-type: none"> <li>Invoice number and date</li> </ul> |
| <b>Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')</b> | <ul style="list-style-type: none"> <li>Yes</li> </ul>                     |
| <b>Reason for credit required</b>                                                                                               | <ul style="list-style-type: none"> <li>Yes</li> </ul>                     |

| Sequential numbering                                                  |                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Separate sequential credit note numbering required</b>             | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                           |
| <b>Allowed to issue one credit note to correct different invoices</b> | <ul style="list-style-type: none"> <li>Yes</li> <li>It is possible to issue one credit note to correct different invoices however you must include the identifying number and date of issue of each invoice that is being corrected</li> </ul> |

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.



# 7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier’s and the Recipient’s perspective, as varying rules may apply.

| Item                                                                               | Supplier                                                                                                            | Recipient                                                                                                                     |
|------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| Whether it is mandatory to ensure I&A in the jurisdiction                          | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                               | <ul style="list-style-type: none"><li>• Yes</li></ul>                                                                         |
| Which methods for ensuing I&A are provisioned for                                  | <ul style="list-style-type: none"><li>• Any means: Business Controls, EDI or e-signature</li></ul>                  | <ul style="list-style-type: none"><li>• Any means: Business Controls, EDI or e-signature Validation</li></ul>                 |
| Which requirements apply for I&A methods if ensured by a third-party (outsourcing) | <ul style="list-style-type: none"><li>• Explicit agreement (no content requirements) strongly recommended</li></ul> | <ul style="list-style-type: none"><li>• No explicit requirements, but an explicit agreement is strongly recommended</li></ul> |

## 7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

| Item                               | Commentary                                                                 |
|------------------------------------|----------------------------------------------------------------------------|
| e-Signature technical requirements | <ul style="list-style-type: none"><li>• If used, minimum AdES</li></ul>    |
| Automated e-signing                | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| Time-stamping of e-signature       | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |

## 7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

| Item                                    | Commentary                                                                                         |
|-----------------------------------------|----------------------------------------------------------------------------------------------------|
| <b>Validation upon receipt</b>          | <ul style="list-style-type: none"><li>• Not explicitly required in the local regulations</li></ul> |
| <b>Time-stamping of validation data</b> | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                         |



## 8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

| Item                                                                                                             | Commentary                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Components to be stored (e.g. tax invoice, source documents, audit trail, I&amp;A proof)</b>                  | <ul style="list-style-type: none"><li>• VAT invoice with e-signature including certificate or other I&amp;A evidence of integrity and authenticity as appropriate</li></ul> |
| <b>Requirements to present stored documents in a specific audit format</b>                                       | <ul style="list-style-type: none"><li>• No requirements for capabilities to transform to audit format</li></ul>                                                             |
| <b>Legibility, i.e. the ability to read stored e-documents by an untrained eye</b>                               | <ul style="list-style-type: none"><li>• Required</li></ul>                                                                                                                  |
| <b>Legibility requirements</b>                                                                                   | <ul style="list-style-type: none"><li>• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability</li></ul> |
| <b>Retention period for invoices not related to immovable property<sup>8</sup></b>                               | <ul style="list-style-type: none"><li>• 6 years</li></ul>                                                                                                                   |
| <b>Start point of retention period calculation for invoices not related to immovable property</b>                | <ul style="list-style-type: none"><li>• After the end of the accounting year</li></ul>                                                                                      |
| <b>Retention period for e- invoices related to immovable property</b>                                            | <ul style="list-style-type: none"><li>• No explicit regulations</li></ul>                                                                                                   |
| <b>Start point of retention period calculation for invoices related to immovable property</b>                    | <ul style="list-style-type: none"><li>• No explicit regulations</li></ul>                                                                                                   |
| <b>Retention period for other than regular invoices or invoices related to immovable property (if existing):</b> | <ul style="list-style-type: none"><li>• For goods considered under the capital good scheme 10 years</li></ul>                                                               |

<sup>8</sup> Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)



|                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Start point of retention period calculation for other than regular invoices or invoices related to immovable property:</b>           | <ul style="list-style-type: none"> <li>• No explicit regulations</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Outsourced archiving</b>                                                                                                             | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• No prior notification required</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Archiving abroad<sup>9</sup> and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)</b> | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• Only in the case that there is an agreement on mutual assistance with the storage country</li> <li>• Prior notification or approval to HMRC not required, but recommended</li> <li>• HMRC recommends maintaining online access to records if stored outside the UK</li> <li>• One can store e-invoices outside the UK as long as that country respects UK Data Protection principles regarding the storage of personal data</li> <li>• One must still be able to produce any records HMRC requires in a readable form, and within a reasonable period of time, at a mutually agreed place.</li> </ul> |
| <b>Other requirements in relation to electronic document retention</b>                                                                  | <ul style="list-style-type: none"> <li>• N/A</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

<sup>9</sup> In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



## 9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

| Document                          | Commentary                                                                                                                                                                                                                                                                                                     |
|-----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Purchase order</b>             | <ul style="list-style-type: none"><li>• All NHS providers are required to electronically submit a monthly file of all purchase order transactions</li><li>• 1 February 2020: NHS trusts required upgrade of all purchase orders, to domestic and foreign suppliers electronically, to Peppol BIS 3.0</li></ul> |
| <b>Rectification document</b>     | <ul style="list-style-type: none"><li>• Yes, see <a href="#">section 6.6</a> above</li></ul>                                                                                                                                                                                                                   |
| <b>Payment instruction</b>        | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                                                                                                                                                                                                                                     |
| <b>SAF-T (or alike) reporting</b> | <ul style="list-style-type: none"><li>• MTD, see <a href="#">section 10.3</a> further</li></ul>                                                                                                                                                                                                                |
| <b>Transportation documents</b>   | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul>                                                                                                                                                                                                                                     |
| <b>Other</b>                      | <ul style="list-style-type: none"><li>• The UK has been considering introduction of <a href="#">split payments</a>, whereby the VAT element of any e-commerce purchase is paid directly to the government. However, no update has been published since 2018.</li></ul>                                         |



## 10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

### 10.1. Penalties

The first late submission will lead to a default where no monetary penalty is applied. However, following further defaults within a 12-month period can lead to the maximum penalty at a value of 15% of the total VAT due. If a business did not use functional software when filing their VAT reports, HMRC can charge a penalty of up to £400 for each.

### 10.2. E-reporting

As of 1 April 2022, all UK VAT registered businesses are mandated to comply with Making Tax Digital (MTD) for VAT. This legislation requires businesses to keep their VAT records digitally and use MTD compatible software to submit their VAT returns to the UK tax authority - HMRC.

#### **Location of taxpayers in scope**

Established only.

#### **Registration threshold**

From 2019, VAT-registered businesses with a turnover above the VAT registration threshold (£85,000) need to keep their records digitally and provide their VAT return information to HMRC. From 1 April 2022, this has been extended, so all VAT registered traders are mandated to comply with MTD.

#### **Summary of the types of data to be reported**

The following records must be kept, maintained, and preserved digitally: - Designatory data (business name, address, VAT registration number etc.) - Supplies made (for each supply made, information must include: time of supply, value of supply & rate of VAT charged) - Supplies received (for each supply received, information must include: time of

supply, value of supply & amount of input VAT claimed) - Adjustments (Where adjustments to input or output tax are made, this adjustment must be recorded in functional compatible software. Only the total for each type of adjustment is required, not details of the underlying calculations. - Details of specific schemes if relevant (Retail scheme, Flat rate scheme, Gold special accounting scheme, Margin schemes etc.)

### **Submission process**

VAT returns must be submitted to HMRC by using functional software that is compatible with MTD. Bridging software may be used as a digital tool that incorporates the relevant Making Tax Digital APIs needed to connect accounting software to HMRC systems. It allows the required information to be reported digitally to HMRC, and for HMRC to communicate digitally with the business.

### **E-Reporting file format**

XLS, XLSX, ODS, DSV

### **Submission frequency**

Additional information: The deadline for submitting a VAT return online and paying HMRC is one calendar month plus seven days after the end of the VAT period.

### **Implementation date**

1st April 2019 - All VAT registered businesses with turnover > £85,000 1st April 2022 - All VAT registered businesses regardless of turnover

## **10.3. National Health Service (NHS)**

### **eProcurement strategy**

In May 2014, the Department of Health published the NHS eProcurement strategy, requiring the adoption of common global standards by NHS providers and their suppliers, throughout their internal and external supply chains.

**Scope:** All hospitals, health centres and trusts belonging to the NHS. All suppliers and manufacturers providing the National Health Service with goods and services.

**Standards:** The key standards required by the strategy for adoption by NHS providers and their suppliers are:

1. GS1 – for product coding, location coding and data synchronisation,
2. Peppol – for purchase order, despatch advice and invoice messaging.

### **Peppol requirements for NHS trusts and suppliers**

The Peppol standards must be used for electronic purchase order and invoice messages (optional for despatch advice notes) and are required to be exchanged through Peppol Access Points.

Adoption is mandatory for both NHS Trusts and their Suppliers through conditions of contract, as follows:

- for NHS Trusts through the NHS Standard Contract; and
- for Suppliers through the [NHS Standard Terms and Conditions of Contract for the Supply of Goods and Services](#)

These electronic documents will have to be exchanged between two Peppol Access Points, respectively one for the NHS provider and one for their supplier, implementing a “four-corner” model. NHS trusts and suppliers should select their own preferred Peppol Access Point provider to be connected to all organisations in the Peppol network and to exchange these business messages.

NHS trusts and suppliers are required to register their receiving capabilities in the centralised Peppol SMP that is provided by the Department of Health (DH).

## Registering on the DH SMP<sup>10</sup>

NHS trusts and suppliers must ensure that their Peppol capabilities are published on the DH SMP in order to be discovered on the Peppol network and to exchange electronic documents, such as purchase orders and invoices.

By having organisation and its Peppol capability registered on the DH SMP, trusts and suppliers agree to receive electronic documents compliant with Peppol specifications. The purpose of an SMP is to allow Peppol Access Point provider systems to dynamically determine messaging capability and to communicate with each other within the Peppol network.

Registration on the DH SMP is mandatory for NHS trusts and suppliers.

### NHS Trust / Supplier sign up process

Peppol Access Point provider will have to provide DH with the information needed to register your organisation:

1. Complete DH SMP form by providing the following information:
  - a. Organisation name
  - b. Organisation ID.<sup>11</sup>
  - c. Peppol (BIS) documents supported
2. Request registration to DH by sending the completed form to: [smp@Peppol-authority.co.uk](mailto:smp@Peppol-authority.co.uk)
3. DH will finalize registration within 3 working days from receipt
4. The contact person included in the form will be notified once the process is complete.

### Purchase-to-pay mandatory timelines

A gradual roll out plan has been implemented for various types of electronic documents:

| Medical Devices<br>EU Classification | Class III<br>IVD List A | Class IIb<br>IVD List B | Class IIa<br>IVD self-test | Class I<br>IVD General |
|--------------------------------------|-------------------------|-------------------------|----------------------------|------------------------|
|--------------------------------------|-------------------------|-------------------------|----------------------------|------------------------|

<sup>10</sup> A Service Metadata Publisher is a federated registry that supplies information to an Access Point system about the Peppol capabilities of participants, such as NHS trusts or suppliers, acting as receivers for specific messages

<sup>11</sup> NHS trusts and suppliers who have not yet allocated a GS1 location identifier (GLN) to their organisation can use other identifiers, such as VAT number, or DUNS

| In-Vitro Diagnostic Devices EU Class                                 |              |              |              |              |
|----------------------------------------------------------------------|--------------|--------------|--------------|--------------|
| Receive orders from NHS access points                                | Mar 31, 2017 | Mar 31, 2017 | Mar 31, 2017 | Mar 31, 2017 |
| Send invoices to NHS access points                                   | Sep 30, 2017 | Sep 30, 2017 | Sep 30, 2017 | Sep 30, 2017 |
| Receive orders carrying GS1 GTIN and GLN data from NHS access points | Mar 31, 2018 | Mar 31, 2018 | Mar 31, 2018 | Sep 30, 2018 |
| Send invoices carrying GS1 GTIN and GLN data to NHS access points    | Sep 30, 2018 | Sep 30, 2018 | Sep 30, 2018 | Mar 31, 2019 |

## Peppol Access Point

Pagero is a certified Peppol Access Point for NHS, providing support for all electronic documents.

## 10.4. Public Procurement Regulations

The [Procurement Policy Note 03/18 \(PPN\) on Electronic Invoicing in Public Procurement](#) explains that following the UK's exit from the European Union, the EU law will continue to apply. The [EU Directive 2014/55/EU](#) will continue to be enforced in the UK.

Contracting authorities and entities in the scope of EU Directive are thus required to be able to receive and process e-invoices that comply with the semantic data model defined in Part 1 of the European standard on e-Invoicing ([EN 16931](#)). This Directive has been enforced for central contracting authorities since 18 April 2019. Sub-central contracting authorities and utilities have had until 18 April 2020 to comply with the requirements.

Contracts must include an express term that obliges them to accept and process undisputed invoices that comply with the technical e-invoicing standard. In absence of an express term relating to electronic invoicing, such a term will be implied.

## 10.5. Making Tax Digital (MTD)

HMRC's Making Tax Digital plans to deploy complete digital tax records and returns. This involves keeping digital records and sending digital VAT returns.

## Scope

VAT registered businesses with a taxable turnover above the VAT threshold of 85.000 GBP are required to follow MTD rules by keeping digital records and using software to submit their VAT returns. Exemptions apply if:

- A business uses the VAT GIANT service: e.g., is a governmental department or an NHS trust
- A business applies for an exemption

Businesses can voluntarily choose to sign up if they fall below the threshold. VAT-registered businesses with a taxable turnover below 85.000 GBP will be required to follow Making Tax Digital rules for their first return starting on 1 April 2022.

## Software

Businesses are required to use a [compatible software package or other software](#) (such as spreadsheets) that connect to HMRC systems.

[Step-by-step guide for businesses](#)

## 10.6. Isle of Man

Isle of Man VAT law permits electronic invoicing in line with the EU Directive 2014/55/EU.

The rules and regulations around e-invoicing in the Isle of Man are the same as in the United Kingdom.

## 10.7. Northern Ireland

### Dual/mixed VAT regime

Since the end of the transition period for Brexit on 31 December 2020, the UK-EU [Trade and Cooperation Agreement \(TCA\)](#) governs the UK and EU trading and economic relationship. The United Kingdom is free to adapt its own VAT regulations moving forward.

In case with Northern Ireland, there is an exception meaning that this country will operate in the dual or mixed VAT regime. Northern Ireland is following the EU VAT rules for goods in accordance with the [Northern Ireland Protocol](#) and UK VAT rules for services.



### 10.7.1. VAT Registration

Northern Ireland is and remains part of the UK's VAT system. A new UK VAT registration for sales of goods in NI is therefore not required.

Businesses trading under the Northern Ireland Protocol will need to put an "XI" prefix instead of "GB" in front of the UK VAT number when communicating with EU suppliers or customers.

A VAT number with the "XI" prefix will follow this format: XI 999.9999.99

When selling goods to the EU VAT-registered customers, businesses trading under the Northern Ireland Protocol will also need to complete an EC Sales List.

Businesses are considered to be trading under the Northern Ireland Protocol in the following cases:

- When goods are located in Northern Ireland at the time of sale
- When goods are received in Northern Ireland from VAT-registered EU businesses for business purposes
- When goods are sold or moved from Northern Ireland to an EU Member State

### 10.7.2. Northern Ireland Protocol

The Northern Ireland Protocol allows a smooth flow of goods between Northern Ireland, Republic of Ireland and the rest of the EU in the same way as while the UK was part of the EU.

Below is the overview of rules for trading and moving goods between Northern Ireland, Great Britain, the European Union and third countries. It also includes transaction classifications.

#### Shipping from Northern Ireland

| Shipping to | Sales type         | Rule               | Transaction       |
|-------------|--------------------|--------------------|-------------------|
| GB          | • Goods            | • GB-GB            | • UK domestic     |
|             | • Services         | • GB-GB            | • General rule    |
|             | • Goods & Services | • GB-GB            | • UK domestic     |
| NI          | • Goods            | • GB-GB (XI if EU) | • UK domestic     |
| EU          | • Goods            | • XI-EU            | • Intra-community |
|             | • Services         | • GB-EU            | • General rule    |

|                                    |                    |         |                              |
|------------------------------------|--------------------|---------|------------------------------|
|                                    | • Goods & Services | • XI-EU | • Intra-community and export |
| NON-EU (3 <sup>rd</sup> countries) | • Goods            | • GB-EU | • Export                     |
|                                    | • Services         | • GB-EU | • General rule               |

### Shipping from Great Britain

| Shipping to                        | Sales type         | Rule     | Transaction                                                                                                                                   |
|------------------------------------|--------------------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| NI                                 | • Goods            | • GB-GB  | • UK domestic                                                                                                                                 |
|                                    | • Services         | • GB-GB  | • UK domestic                                                                                                                                 |
|                                    | • Goods & Services | • GB-GB  | • UK domestic                                                                                                                                 |
| EU                                 | • Goods            | • GB-EU  | • Intra-community                                                                                                                             |
|                                    | • Services         | • GB-EU  | • General rule                                                                                                                                |
|                                    | • Goods & Services | • GB-EU  | • Intra-community and export                                                                                                                  |
| EU via NI                          | • Goods            | • GB-EU  | <ul style="list-style-type: none"> <li>• Export from GB to NI with self-accounted import VAT</li> <li>• Then intra-community XI-EU</li> </ul> |
| NON-EU (3 <sup>rd</sup> countries) | • Goods            | • GB-3rd | • Export                                                                                                                                      |
|                                    | • Services         | • GB-3rd | • General rule                                                                                                                                |

### Shipping from the EU

| Shipping to | Sales type | Rule        | Transaction                                                                                                                                                       |
|-------------|------------|-------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| GB          | • Goods    | • EU-GB     | <ul style="list-style-type: none"> <li>• UK import with domestic supply: EU seller import VAT via UK VAT return</li> <li>• Then UK VAT domestic supply</li> </ul> |
|             | • Services | • EU-GB     | • General rule                                                                                                                                                    |
| GB via NI   | • Goods    | • GB via NI | • UK import with domestic supply: EU seller import                                                                                                                |

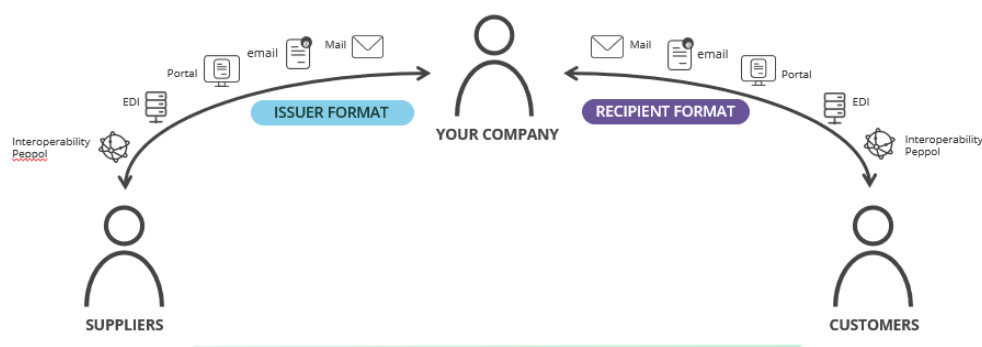
|    |            |         |                                                        |
|----|------------|---------|--------------------------------------------------------|
|    |            |         | VAT via UK VAT return<br>• Then UK VAT domestic supply |
| NI | • Goods    | • EU-XI | • Intra-community                                      |
|    | • Services | • EU-GB | • General rule                                         |



## 11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

### 11.1. B2B: Document issuance with Pagero



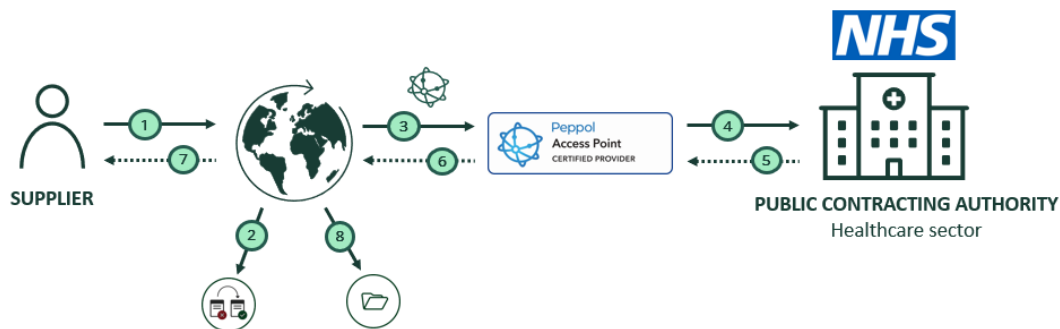
- (1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- (2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- (4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

### 11.2. B2G: Document issuance (AR) with Pagero

#### **B2G e-document issuance (AR) towards Healthcare sector (NHS)**

NHS providers and their suppliers must adopt the Peppol messaging standards for e-Orders and e-Invoices in e-Procurement.

## E-Invoices



- (1) Supplier provides e-Invoice data in supplier preferred format to PAGERO
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3) PAGERO sends the final e-document to a receiving Service Provider, also a Peppol Access Point, in Peppol BIS format
- (4) The receiving Service Provider sends the received e-document to the contracting authority in the Healthcare Sector
- (5-7) Return communication from the buyer to the supplier; this is optional in the UK
- (8) PAGERO archives all relevant document on behalf of the supplier

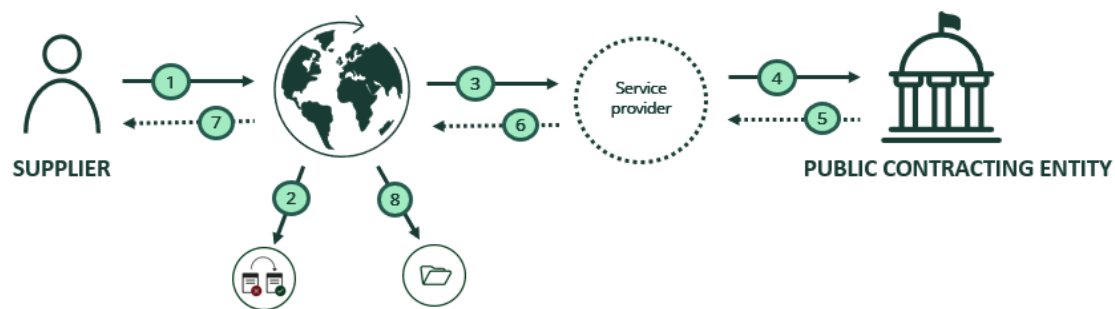
## E-Orders



- (1) Contracting Authority provides e-Order data in preferred format to PAGERO
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3) PAGERO sends the final e-document to a receiving Service Provider in Peppol BIS format

- (4) The receiving Service Provider sends the received e-Order to the Supplier in supplier preferred format
- (5-7) Return communication from the Supplier to the supplier; this is optional in the UK
- (8) PAGERO archives all relevant document on behalf of the contracting authority

### **B2G e-document issuance towards other governmental entities: Post Audit**



- (1) Supplier provides data in supplier preferred format to PAGERO
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3) PAGERO sends the final e-document to the receiving service provider (RSP) / buyer in a legally predefined format and according to a legally predefined exchange protocol
- (4) RSP/buyer sends the received e-document to the buyer
- (5-7) Return communication from the buyer to the supplier, i.e. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- (8) PAGERO archives all relevant document on behalf of the supplier

## **11.3. B2G: Document reception (AP) with Pagero**

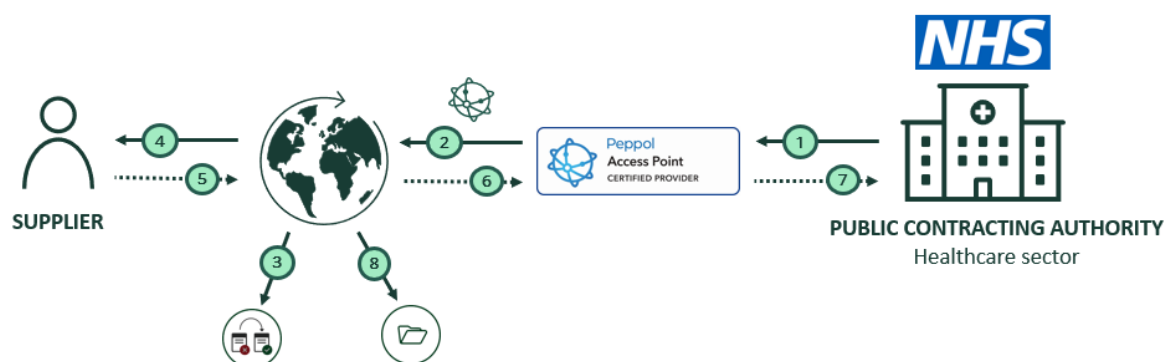
### **B2G e-document reception (AP) from Healthcare sector (NHS)**

#### E-Invoices



- (1) Supplier provides e-Invoice data in supplier preferred format to Sending service provider
- (2) Sending service provider sends e-invoice in Peppol BIS format to PAGERO
- (3) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (4) PAGERO sends the final e-document to the contracting authority
- (5-7) Return communication from the buyer to the supplier; this is optional in the UK
- (8) PAGERO archives all relevant document on behalf of the contracting authority

### E-Orders

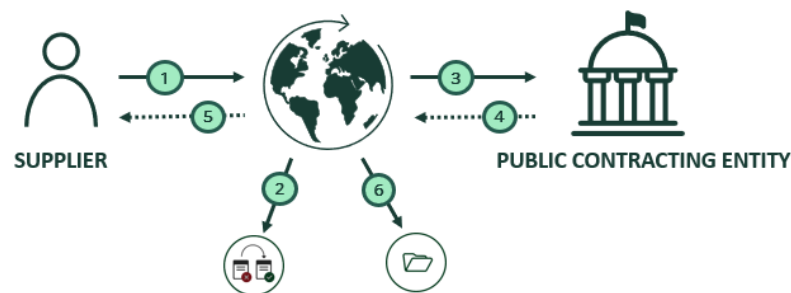


- (1) Contracting Authority provides e-Order data to Sender's Service Provider
- (2) Sending service provider sends the final e-order to PAGERO in Peppol BIS format
- (3) PAGERO performs data content validation, enrichment and conversion, document format conversion.



- (4) PAGERO sends the received e-Order to the Supplier in suppliers preferred format
- (5-7) Order acknowledgment from the Supplier to the Buyer; is optional in the UK
- (8) PAGERO archives all relevant document on behalf of the supplier

## **B2G e-document reception with other governmental entities: Post Audit**



- (1) Supplier provides data to the Pagero
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signature validations, etc.
- (3) PAGERO sends the received e-document to the contracting authority
- (4-5) Return communication from the buyer to the supplier, i.e. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- (6) PAGERO archives all relevant documents on behalf of the contracting authority



## 12. Closing statements

### 12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

### 12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



## Revision history

| Date            | What has changed                                                                                                                                     |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4 December 2017 | Document created                                                                                                                                     |
| 27 January 2020 | Added section on Isle of Man                                                                                                                         |
| 7 December 2020 | <ul style="list-style-type: none"><li>• New Section 10.3. on MTD</li><li>• New process flows</li><li>• Updated relevant versions and dates</li></ul> |
| 13 July 2021    | New section 10.5. on Northern Ireland                                                                                                                |
| 10 August       | <ul style="list-style-type: none"><li>• Section 10.1: Penalties</li><li>• Section 10.2: E-reporting</li></ul>                                        |